

SPOTTING ONLINE ACADEMY
Advanced Level Zimsec

ACCOUNTING

PAPER 3 Problem Solving

6001/3

2 hours 30 minutes

04 JUNE 2025

REVISION SESSION

Candidates must write on answer sheets

Additional materials:

Calculator

TIME 2 hours 30 minutes

INSTRUCTIONS TO CANDIDATES

Write your name on the answer sheet.

This paper consists of 4 questions with 25 marks each.

Answer **all** questions.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part.

Total Marks [100]

This question paper consists of 6 pages

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Answer **all** questions

1. BHILA TRADERS deals in a single item, Product X, and uses a perpetual inventory system. Below are the transactions for the period January to April 2025:

Month	Transaction	Units	Unit Cost (\$)	Unit Selling Price(\$)
January	Opening Inventory	100	10.00	–
January	Purchase	200	11.00	–
February	Sale	150	–	16.00
February	Purchase	150	12.00	–
March	Sale	120	–	17.00
April	Purchase	100	13.00	–
April	Sale	130	–	17.00

The business incurs fixed monthly operating expenses of \$500 for each of the four months (January to April 2025).

Required:

- a. Calculate the Closing Inventory as at 30 April 2025 using:
 - i) FIFO method. [8]
 - ii) AVCO (Weighted Average Cost) method (round average cost to 2 decimal places) [8]
- b. Prepare a Profit Statement for the four-month period ending 30 April 2025:
 - i) Using FIFO. [3]
 - ii) Using AVCO. [3]
- c. Explain what is meant by IAS 2 - Inventories and give one reason why this standard is important in the preparation of financial statements. [3]

2. Muhwahwa Limited manufactures a single product. Goods are transferred from the production department to the sales department at a markup of 20%.

The following balances have been extracted from the books of Muhwahwa Limited at 31 December 2015:

Non-current assets at cost:

Property: \$400 000

Manufacturing plant and machinery: \$350 000

Office equipment: \$120 000

Provision for depreciation at 1 January 2015:

Property: \$120 000

Manufacturing plant and machinery: \$230 000

Office equipment: \$96 000

Inventories at 1 January 2015:

Raw materials: \$24 600

Work in progress: \$66 800

Finished goods at transfer price: \$162 000

Loose tools: \$2 000

The following information was available for the year ended 31 December 2015:

Direct wages: \$344 000

Indirect wages: \$69 000

Purchases of direct materials: \$287 000

Purchases of indirect materials: \$43 000

Carriage inwards on direct materials: \$3 700

Other factory overheads: \$32 500

Purchases of loose tools: \$3 000

Revenue: \$1 562 000

Administrative expenses: \$374 000

Provision for unrealised profit at 1 January 2015: \$27 000

Water and electricity expenses: \$14 000

Additional information:

1. Inventory at 31 December 2015:

Raw materials: \$28 800

Work in progress: \$72 200

Finished goods at transfer price: \$186 000

Loose tools: \$2 500

2. Depreciation is to be provided as follows:

Property: 5% on cost

Manufacturing plant and machinery: 20% reducing balance method

Office equipment: 15% on cost

3. Water and electricity expenses owing at 31 December 2015 amounted to \$1 500.

4. The following expenses are to be allocated as:

Expense	Factory	Administration
Depreciation on property	70%	30%
Water and electricity	80%	20%

5. Accrued expenses at 31 December 2015:

Indirect wages: \$3 000

Administrative expenses: \$5 000

6. Prepaid expenses at 31 December 2015:

Factory insurance (included in factory overheads): \$2 400

Office rent (included in administrative expenses): \$1 600

Required:

- (a) Prepare the manufacturing account for the year ended 31 December 2015. **[12]**
- (b) Prepare the income statement for the year ended 31 December 2015. **[11]**
- (c) Explain the treatment of unrealised profit in the income statement. **[2]**

3. Telme and Melta have been in partnership for several years sharing profits and losses in the ratio 4:1 respectively. They decided to dissolve the business on 31 December 2024.

The following information was extracted from the partnership books as at 31 December 2024:

Statement of financial position as at 31 December 2024

Non-current assets (at book value):	\$	\$
Premises		550 000
Fixtures and fittings		220 000
Motor vehicles		160 000
		<u>880 000</u>
Current assets:		
Inventory	90 000	
Trade receivables	70 000	
Bank	25 000	185 000
Total current assets	<u></u>	<u>1 065 000</u>
Financed by:		
Capital accounts:		
–Telme	520 000	
–Melta	300 000	
	<u></u>	820 000
Current accounts:		
–Telme	100 000	
–Melta	(50 000)	
	<u></u>	50 000
Non-current liabilities:		
10% Loan from Telme		120 000
Current liabilities:		
Trade payables		75 000
		<u>1 065 000</u>

Additional information:

- On 1 January 2025, Telme and Melta took over motor vehicles at their book values of 40 000 and 50 000 respectively.
- The remaining assets were realised as follows:
 - Premises – 480 000
 - Fixtures and fittings –210 000
 - Inventory – 85 000
 - Motor vehicles –60 000
 - Trade receivables – 66 000
- Trade payables were paid 72 000 in full settlement.

4. Dissolution costs amounted to \$7 000.
5. Telme's loan was not repaid but transferred to his capital account.

Required:

(a) Prepare the following accounts to close the partnership books:

(i) Realisation account. **[9]**

(ii) Partners' capital accounts **[9]**

(iii) Bank account **[5]**

b.State the causes of partnership dissolution. **[2]**

4.Syno Limited provides the following information from its sales budget for 2024:

Month	Units	Sales price per unit
		\$
January	10 000	20
February	11 000	20
March	11 000	21
April	12 000	21
May	12 000	21
June	14 000	24

Additional information:

Inventory of finished goods at each month end is maintained at 20% of the units expected to be sold in the following month.

Each unit requires 0.5 kilos of raw materials, which costs \$3 a kilo.

Half a month's inventory of raw materials is maintained, based on the expected usage in the following month.

The total production cost of each unit is \$11 and this is the value used for inventory valuation.

Required:

(a) Prepare the production budget for each of the five months January to May 2024. **[11]**

(b) Prepare the purchase budget for raw materials for each of the four months January to April 2024. Show purchases of raw materials in both kilos and dollars. **[9]**

- (ci)Define the term master budget.[2]
ii.State the importances of preparing budgets.[3]

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